

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$5.34 ▲ 5.95%	12M Price Target \$5.00	52-Week Range \$3.01 – \$9.39	Market Cap \$2.56B
------	----------------	----------------------------	----------------------------------	-----------------------

BBAI: Speculative Surge On PTG Deal; Reiterate Hold

WHAT'S CHANGED

- BBAI extended a 5-day rip to +27.8% (from \$4.18 → \$5.34) on extreme volume averaging ~73M shares/day, vaulting to 37% of 52-week range; today's +5.95% close coincides with mainstream attention (Cramer "speculate only," GuruFocus "profitless tech +57%").
- PTG cargo-security partnership (May 30) provides commercial validation outside core federal book; options flow decisively bullish with 0.15 P/C ratio and unusual \$6.50/\$7.00 June call sweeps (5x OI), signaling near-term gamma squeeze setup.

IMPLICATIONS

The PTG deal materially diversifies BBAI's revenue mix beyond its federal/IC concentration into commercial trade surveillance, but the magnitude is unquantified and unlikely to move FY26 numbers meaningfully. The 57% surge in a profitless name, paired with Tech ETF +8.5% over 5D, suggests this is as much a risk-on AI beta trade as a fundamentals story—dangerous given insider selling from the CFO (\$43K) and a director (\$61K) into strength. Investors should treat the rally as a sentiment/flow event, not a re-rating triggered by earnings power.

VALUATION

At \$2.56B market cap on ~\$178M FY26E revenue, BBAI trades at ~14x EV/Sales—well above defense IT peers (LDOS/CACI at 1-2x) and a premium even to high-growth federal AI comps. Our \$5.00 PT reflects ~12x FY27E sales, acknowledging Palantir-adjacent narrative premium but capping multiple given persistent negative FCF and adj. EBITDA margins in low-single digits. Multiple contraction is the dominant risk if AI sector enthusiasm cools or contract wins disappoint in 2H26.

KEY RISKS

- Multiple compression risk: 14x EV/Sales unsustainable absent acceleration to 40%+ growth; current consensus implies ~20% YoY
- Customer concentration in DoD/DHS exposes BBAI to continuing resolution delays and federal budget reconciliation
- Dilution overhang: history of ATM offerings and convertible issuance; balance sheet repair likely tapped during this rally

RECENT NEWS

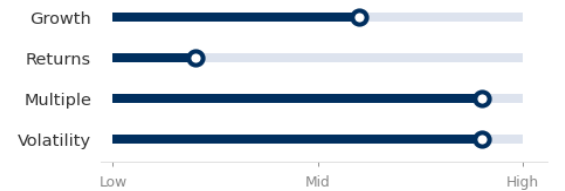
Profitless Tech Surges 57% As Wall Street Signals Caution [GuruFocus.com](#) · 2026-06-01 18:21

Jim Cramer on BigBear.ai: “Can’t Recommend It, But If You Want to Speculate on It, That’s ... [Insider Monkey](#) · 2026-06-01 17:54

Key Data

Price (USD)	\$5.34
12M Price Target	\$5.00
Upside / (Downside)	-6.4%
Market Cap	\$2.56B
FY2026E Revenue	\$178M
FY2027E Revenue	\$215M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$6.50	\$5.25	\$4.00
6 Months	\$8.00	\$5.50	\$3.50
1 Year	\$9.50	\$5.00	\$3.00
2 Years	\$12.00	\$6.50	\$2.50
5 Years	\$18.00	\$8.00	\$2.00
10 Years	\$30.00	\$12.00	\$1.50

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+8.52% 5D), Energy (+1.79% 1D)

COLD SECTORS: Financials (-0.98% 5D), Industrials (-0.42% 1D)

ROTATION WATCH: Tech leadership broadening into profitless/speculative AI names (BBAI, SERV, SOUN cohort) suggests late-cycle risk-on; watch for rotation back to quality if 10Y yields rise or NVDA guidance disappoints.

BYPRODUCT PLAY: Defense-AI convergence benefits second-derivative names in geospatial intel (MAXR, RKLB) and edge compute infrastructure; commercial trade/border-security AI is an underappreciated TAM tailwind.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Continues to set the federal-AI multiple benchmark; commercial AIP traction provides the playbook BBAI is trying to replicate at 1/30th the scale
- SERV (Serve Robotics): Highlighted in Zacks coverage; DoorDash momentum exemplifies the same speculative-AI bid lifting BBAI

BBAI CONTEXT: BBAI is participating in the speculative AI rally but remains a beta-trade rather than a leader—it's lagging PLTR on fundamentals (growth, margins, FCF) while matching it on multiple, an unsustainable setup. Relative outperformance this week is flow-driven, not earnings-driven.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1% speculative tranche

Entry Points: \$3.50-4.00 on pullbacks

Time Horizon: 6-12 months

Thesis Invalidation: Loss of DoD/DHS contracts or revenue growth deceleration <10% YoY

Hedging: Long-dated puts or pair vs PLTR long